

Rotation, Not Retreat

S&P -1.01% as the semiconductor complex slid into bear-market territory on a new Chinese AI model and fresh capital-spending doubts — but energy and defensives absorbed the capital. The two sleeves split by design: Dividend Strategy -0.55%, Growth Portfolio -1.09%.

THE SESSION

The week's chip anxiety resolved on Friday into a genuine rotation rather than a retreat. The S&P 500 closed -1.01% at 7,457.78 and the Nasdaq -1.44%, yet beneath the index the money did not leave the market so much as change addresses. Semiconductors did the damage; energy, utilities, insurers and staples caught the bid. The Dow held better at -0.77%, and the VIX rose roughly 10% to 18.4 — elevated, but well short of panic.

The fresh catalyst crystallized a question the tape has been circling all week. Chinese startup Moonshot released Kimi K3, a powerful open model competitive with leading U.S. systems, and the market read it not as a demand story but as a cost one: if capable models can be built for less, the return on the industry's enormous AI capital-spending plans becomes the debate. That reframing, layered on the week's earlier reaction to a record TSMC quarter, pushed the semiconductor complex into bear-market territory — down roughly 20% from its peak, per Bloomberg. Nvidia slipped about 2% and briefly ceded the world's-most-valuable-company title to Apple intraday. Netflix, which we do not own, added to the mood with a near 11% drop on soft third-quarter guidance.

The other side of that trade belonged in part to us. Renewed U.S.–Iran hostilities and fresh Strait of Hormuz tension lifted Brent — up roughly 16% from its July 1 low — and energy has been the strongest sector of the past week. Chevron (+1.91%) and Vistra (+1.89%) led the Growth Portfolio's gainers even as the sleeve's semiconductor and digital-asset weighting absorbed the day's pressure, closing -1.09% against IUSG's -1.34%. The Dividend Strategy — anchored in healthcare, staples, financials

and insurance — nearly held flat at -0.55%, edging past SPY (-1.01%) while trailing a resilient DVY (-0.39%).

FCI Tactical: A bear market in one sector is not a bear market in a portfolio. Owning durable cash flows alongside secular growth is precisely what lets a -1% tape land as -0.55% in the sleeve built to defend it. We own businesses, not the ticker — and a rotation that pays our value names while our growth names catch their breath is the barbell working as designed. The tactical framework operates at the index level, and the S&P remains far above the -20% first-tranche trigger.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

CVX +1.91% GROWTH PORTFOLIO

Chevron led the energy bid as renewed U.S.–Iran hostilities and Strait of Hormuz tension lifted crude, with the company moving to insulate its operations from Iran-related supply risk.

VST +1.89% GROWTH PORTFOLIO

Vistra advanced as capital rotated toward power and hard assets, the independent power producer drawing both the energy bid and steady electricity-demand flows.

ABT +1.87% DIVIDEND STRATEGY

Abbott extended Thursday's post-earnings strength as healthcare remained the market's preferred defensive following its Q2 beat and raised full-year guide.

ORI +1.83% DIVIDEND STRATEGY

Old Republic gained as insurers and value financials drew defensive flows leaving high-beta technology.

KEYS +1.00% GROWTH PORTFOLIO

Keysight held green as test-and-measurement stayed relatively insulated from the AI-hardware de-rating.

QCOM +0.69% DIVIDEND STRATEGY

Qualcomm bucked the semiconductor selling, its handset-and-licensing profile shielding it from the AI capital-spending doubts pressuring the data-center names.

DECLINERS

MARA -6.39% GROWTH PORTFOLIO

Marathon led the miners lower in a high-beta de-risking driven by rotation rather than bitcoin, which held near \$64,000.

HOOD -5.72% GROWTH PORTFOLIO

Robinhood fell on profit-taking after roughly a 10% monthly run — no company-specific shock, but a stretched high-beta name meeting a broad de-risking bid, with ARK trimming and a reported credit-card-backed bond sale in the frame.

SYK -3.42% DIVIDEND STRATEGY

Stryker gave back Thursday's gain as medical-technology names saw profit-taking, even as it launched its Mako RPS robotic knee platform.

TOL -3.24%

GROWTH PORTFOLIO

Toll Brothers slid as rate-sensitive homebuilders came under pressure with Treasury yields held up by the oil-driven inflation impulse.

TSM -2.77%

GROWTH PORTFOLIO

Taiwan Semiconductor extended its post-earnings slide as the epicenter of the capex-absorption debate, the Kimi K3 launch sharpening competitive concerns.

CRDO -2.54%

GROWTH PORTFOLIO

Credo dropped with the AI-connectivity cohort as the semiconductor index moved into bear-market territory.

NVDA -2.21%

GROWTH PORTFOLIO

Nvidia slipped with the complex and briefly ceded the world's-most-valuable-company title to Apple during the session.

HOLDINGS NEWS

Lockheed Martin (LMT) — \$10.5B special-operations logistics award. The Department of War named Lockheed prime contractor on the Special Operations Forces Global Logistics Support Services II (GLSS2) program — a \$10.5 billion, 12-year contract and USSOCOM's largest service-contract vehicle, a competitive follow-on to work Lockheed has run since 2010. Separately, the company took a \$1.6 billion Navy order for F-35 spares and committed \$100 million to a European venture allocation alongside a new London office. Shares eased -0.93% with the broad tape despite the news.

Stryker (SYK) — Mako RPS launch. Stryker introduced Mako RPS, extending its flagship robotic-surgery platform further into knee procedures. The launch broadens the Mako franchise's addressable base, though the stock traded lower with the medical-technology group on the day.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT ONE

-0.55%

vs. DVY -0.39% | SPY -1.01%

GROWTH PORTFOLIO

✓ BEAT

-1.09%

vs. IUSG -1.34%

YEAR-TO-DATE

Dividend +17.22% vs DVY +16.45% / SPY +9.58%

Growth +13.04% vs IUSG +9.67%